MACQUARIE

Tencent

Neutral

Solid core engine meets uncertain AI horizon

Key Points

- Tencent's healthy 4Q25 was backed by Video Accounts and a resilient game portfolio.
- Management is shifting towards a capital-intensive "catch-up" phase in AI infrastructure, foundation model, and new product developments.
- Maintain Neutral. We see limited near-term earnings upside, and expect range-bound trading before a tangible breakout on AI-led initiatives.

- **AI investment cycle ahead.** Tencent delivered a solid 4Q25: revenue +13% YoY to Rmb194bn, and adjusted NP +17% YoY to Rmb65bn. Gross margin stood out at 56% (vs 53% in 4Q24), driven by lucrative contributions from Video Accounts and resilient gaming portfolio. However, this operational success was balanced by a defensive shift in management's tone regarding the AI landscape. While the broader social-centric ecosystem remains well intact, Tencent is now prioritising a step-up in infrastructure spend to prepare for the coming agentic regime shift. We acknowledge this is the right move, but in the near term, the potential of "AI-empowered margin expansion" is likely to be offset by a more capital-intensive "catch-up" phase.
- **Resilient core business** continues to provide the necessary dry powder for this pivot. In 4Q, multiple games such as ***Honor of Kings*** and ***Delta Force*** enjoyed robust growth with momentum carrying into 2026. Online advertising revenue rose 17% YoY, empowered by enhanced adtech while maintaining below-average industry ad load levels. We are confident that Tencent's core business will benefit from the AI wave rather than be a victim of disruption, but incremental earnings could be offset by prolonged AI investments, spread across infrastructure and application development. That said, we now expect revenue to rise 10% YoY to Rmb827bn and adustedj NP to increase 8% YoY to Rmb279bn in 2026E.
- See more details inside for recent AI development and 4Q25 operations.

Earnings changes: We trim our respective 2026E/27E adjusted EPS estimates by 1%/3% to factor in 4Q25 results and our outlook for higher operating expenses.

Valuation: We cut our SoTP-based TP by 2% to HK$559, from HK$569, based on a 15x 2026E P/E for Value-Added Services (VAS)/ads and a 5x 2026E EV/sales for Cloud (both unchanged).

Catalysts: New model release, agentic AI progress, existing games' grossing data, new game pipeline.

Investment Thesis and Recommendation

Tencent remains well positioned in its core operating markets as advertising and games maintain strong growth momentum, but intensified competition in AI traffic and the absence of clear AI monetisation roadmaps could cap near-term valuation. Prior Tencent research.

Media & Entertainment
Hong Kong

Ellie Jiang

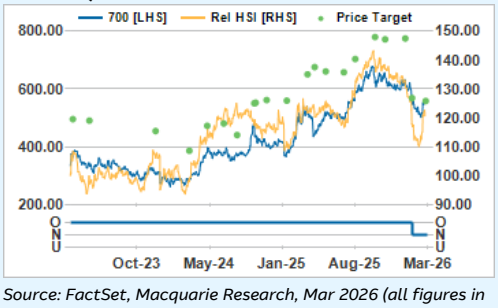
Kevin He

700 HK	**Neutral**
Price (at 18 Mar 2026)	**HK$550.50**
12-month target	**HK$559.00**
12-month TSR (%)	**2.3**
Volatility Index	**Medium**
Market Cap (Local) (m)	5,013,049
Market Cap (USD) (m)	639,693
Free Float (%)	68
30-day avg turnover (USD) (m)	1,684.1

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (m)	751.8	826.5	900.1	975.2
Revenue growth (%)	13.9	9.9	8.9	8.3
EBIT (m)	241.6	266.4	293.6	326.2
EBIT growth (%)	16.1	10.3	10.2	11.1
Adjusted profit (m)	259.6	279.2	304.7	332.2
EPS rep [CNY]	24.3	26.6	29.5	32.5
EPS rep growth (%)	18.1	9.3	10.9	10.1
EPS adj [CNY]	28.1	30.2	32.9	35.9
EPS adj growth (%)	18.8	7.5	9.1	9.0
Net debt/equity (%)	0.4	(9.2)	(18.1)	(25.5)
ROE (%)	24.4	21.9	20.0	18.5
PER rep (x)	19.9	18.2	16.4	14.9
PER adj (x)	17.2	16.0	14.7	13.5
EV/EBITDA (x)	13.3	12.1	11.1	10.2
P/BV (x)	3.8	3.2	2.7	2.3
Total div yield (%)	0.9	0.8	0.9	1.0
Quant (rank vs. global sector)				151 / 673

700 HK rel HSI performance, & rec history



Source: FactSet, Macquarie Research, Mar 2026 (all figures in CNY unless noted, TP in HKD)

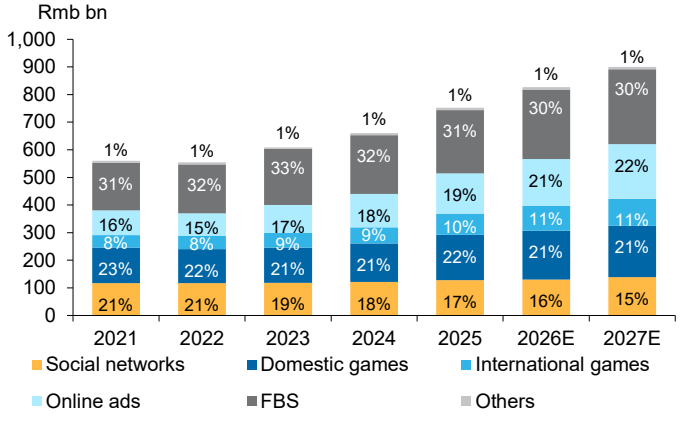
Key Risks to Investment Thesis

- Stronger/weaker-than-expected macro that could pressure the growth outlook for the ads/FBS segments.
- Faster/slower-than-expected development of AI.
- Less/more intense competition in the advertising/games segment.
- Potential regulatory headwinds on games or delays of major title launches.
- Sell-down by major investors.

Company Description

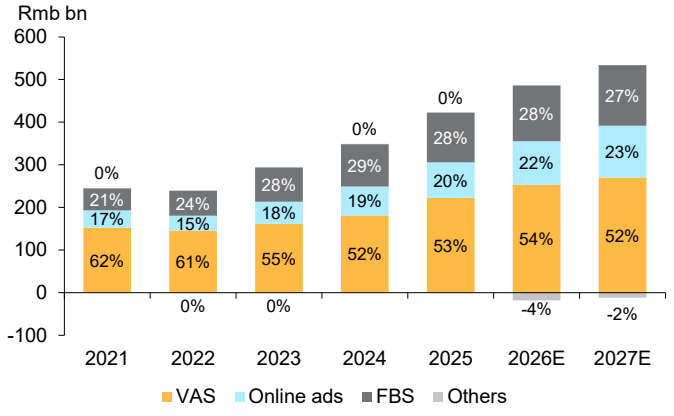
Tencent is one of the world's leading internet companies with a strong ecosystem in both consumer and enterprise internet. Tencent operates the social platform Weixin/WeChat, which boasts ~1.4 bn monthly active users globally. It also offers a wide array of services ranging from online games and videos to music literature. Tencent operates online payment platform Weixin/WeChat Pay and offers enterprise services through Tencent Cloud.

Figure 1 - Tencent: Revenue breakdown and outlook



Source: Company data, Macquarie Research, March 2026

Figure 2 - Tencent: Gross profit breakdown and outlook



Source: Company data, Macquarie Research, March 2026

Tencent (700 HK) CNY/(m) unless otherwise noted

Income Statement Dec FY	2025A	2026E	2027E	2028E	Q4/26A	Q1/27E
Revenue	**751.8**	**826.5**	**900.1**	**975.2**	**214.3**	**215.3**
Cost of Goods Sold	329.2	358.7	377.9	394.6	93.0	88.9
Gross Profit	**422.6**	**467.8**	**522.3**	**580.6**	**121.3**	**126.4**
EBITDA	**307.5**	**338.6**	**369.6**	**405.6**	**84.7**	**91.6**
Depreciation	32.8	37.5	39.9	42.3	10.3	9.5
Amortisation	33.1	34.7	36.0	37.1	9.0	8.7
EBIT	**241.6**	**266.4**	**293.6**	**326.2**	**65.4**	**73.3**
Net Interest Income	1.8	9.9	16.1	18.0	2.7	2.7
Pre-Tax Profit	**277.2**	**313.1**	**346.7**	**381.3**	**77.5**	**85.0**
Tax Expense	(47.4)	(62.6)	(69.3)	(76.3)	(15.5)	(17.0)
Net Profit	**229.8**	**250.5**	**277.4**	**305.1**	**62.0**	**68.0**
Reported Earnings	**224.8**	**245.9**	**272.8**	**300.5**	**60.9**	**66.8**
Adjusted Earnings	**259.6**	**279.2**	**304.7**	**332.2**	**68.7**	**75.1**
Basic Shares Outstanding	9.1	9.1	9.1	9.1	9.1	9.1
Diluted Shares Outstanding	9.2	9.2	9.3	9.3	9.2	9.2
EPS (rep) [CNY]	24.3	26.6	29.5	32.5	6.6	7.2
EPS (adj) [CNY]	28.1	30.2	32.9	35.9	7.4	8.1
Total DPS [CNY]	4.5	4.1	4.5	5.0	1.0	1.1

Ratio	2025A	2026E	2027E	2028E		
Revenue Growth (%)	13.9	9.9	8.9	8.3	-	-
EBITDA Growth (%)	16.4	10.1	9.1	9.8	-	-
EBIT Growth (%)	16.1	10.3	10.2	11.1	-	-
EPS Growth (adj) (%)	18.8	7.5	9.1	9.0	-	-
Gross Profit Margin (%)	56.2	56.6	58.0	59.5	-	-
EBITDA Margin (%)	40.9	41.0	41.1	41.6	-	-
EBIT Margin (%)	32.1	32.2	32.6	33.5	-	-
Net Profit Margin (%)	34.5	33.8	33.9	34.1	-	-
Payout Ratio (%)	16.0	13.4	13.7	13.8	-	-
PE (rep) (x)	19.9	18.2	16.4	14.9	-	-
PE (adj) (x)	17.2	16.0	14.7	13.5	-	-
EV/EBITDA (x)	13.3	12.1	11.1	10.2	-	-
EV/EBIT (x)	16.6	15.1	13.8	12.5	-	-
Price/Book (x)	3.8	3.2	2.7	2.3	-	-
Total Div Yield (%)	0.9	0.8	0.9	1.0	-	-

Balance Sheet	2025A	2026E	2027E	2028E
Cash	384.8	496.7	646.4	819.4
Receivables	49.9	53.9	58.8	63.7
Inventories	0.5	1.3	1.4	1.6
Investments	563.8	583.8	603.8	623.8
Fixed Assets	149.9	192.4	232.5	270.2
Intangibles	206.0	203.0	199.9	196.7
Total Assets	**2,039**	**2,260**	**2,515**	**2,793**
Payables	111.5	111.5	111.5	111.5
Short Term Debt	55.7	55.7	55.7	55.7
Long Term Debt	334.6	304.6	274.6	244.6
Total Liabilities	797.9	776.1	766.7	756.6
Shareholders' Funds	1,074	1,283	1,515	1,770
Total S/H Equity	**1,241**	**1,484**	**1,748**	**2,036**
Total Liab & S/H Funds	2,039	2,260	2,515	2,793
Net Debt / Equity (%)	0.4	(9.2)	(18.1)	(25.5)
Interest Cover (x)	NM	NM	NM	NM
ROE (%)	24.4	21.9	20.0	18.5
ROIC (%)	18.9	17.1	17.4	18.2

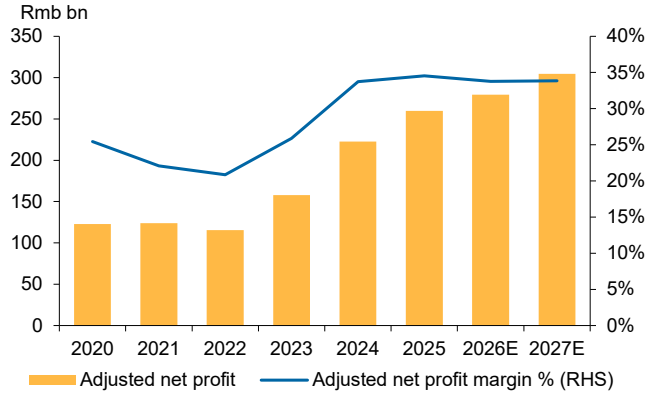
Cash Flow Analysis	2025A	2026E	2027E	2028E
EBITDA	**307.5**	**338.6**	**369.6**	**405.6**
Tax Paid	(45.9)	(45.9)	(45.9)	(45.9)
Chgs in Working Cap	19.2	19.2	19.2	19.2
Net Interest Paid	0.0	0.0	0.0	0.0
Operating Cashflow	**222.0**	**222.0**	**222.0**	**222.0**
Acquisitions	9.7	9.7	9.7	9.7
Capex	(21.0)	(21.0)	(21.0)	(21.0)
Investing Cashflow	**(125.2)**	**(125.2)**	**(125.2)**	**(125.2)**
Dividend (Ordinary)	(21.8)	(21.8)	(21.8)	(21.8)
Financing Cashflow	**(82.6)**	**(82.6)**	**(82.6)**	**(82.6)**
Net Chg in Cash/Debt	**15.6**	**15.6**	**15.6**	**15.6**
Free Cashflow	**201.0**	**201.0**	**201.0**	**201.0**

Source: Company data, Macquarie Research Mar 2026

Recent developments: WorkBuddy and QClaw

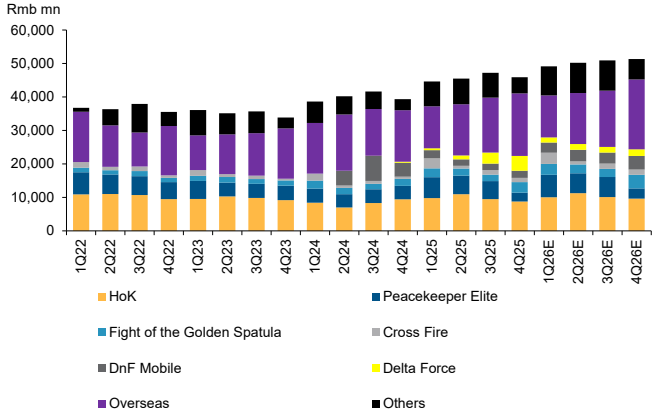
- On 9 March, Tencent officially launched WorkBuddy, a full-scenario AI assistant designed for workplace tasks with 20+ built-in skill packs and model context protocols (MCP) (link). Specifiically, in WorkBuddy's domestic version, users can choose among HunYuan, DeepSeek, GLM, Kimi, and MiniMax models. Through enabling one-click deployment, Tencent intends to significantly lower the deployment-related technical hurdles for users to enjoy OpenClaw-like experience.
- On the same day, Tencent was internally testing QClaw, an AI agent tool that enabled users to interact with bots through QQ and Weixin/WeChat (link). Like WorkBuddy, QClaw also had one-click deployment and options to choose from multiple large models. Subsequently, on 18 March, Tencent managed to bring QClaw to the mini-programs of Weixin/WeChat (link), thereby deepening integration.

Figure 3 - Tencent: Adjusted net profit margin trends



Source: Company data, Macquarie Research, March 2026

Figure 4 - Tencent: Mobile game revenue by title



Source: Sensor Tower, Macquarie Research, March 2026

4Q25 results largely in line

- Total revenue rose 13% YoY to Rmb194.4bn, +1%/ in line vs MQe/Visible Alpha (VA) consensus.
  - ⇒ Revenue from VAS was Rmb89.9bn, +3%/+1% vs MQe/VA consensus.
  - ⇒ Revenue from online advertising was Rmb41.1bn, -2%/-1% vs MQe/VA consensus.
  - ⇒ Revenue from FinTech and Business Services was Rmb60.8bn, in line/in line vs MQe/VA consensus.
- Combined MAU of Weixin and WeChat rose 2% YoY to 1.418bn, -1% with MQe.
- Gross profit increased 19% YoY to Rmb108.3bn, +1%/in line vs MQe/VA cons. GPM was 56%, vs. 56% from MQe and 56% from VA consensus.
- Adjusted operating profit rose 17% YoY to Rmb69.5bn, +1%/in line vs MQe/VA consensus. Adjusted OPM was 36%, vs. 36% from MQe and 36% from VA consensus.
- Adjusted net profit grew by 17% YoY to Rmb64.7bn, +1%/+1% vs MQe/VA consensus. Adjusted NPM was 33%, vs. 33% from MQe and 33% from VA consensus.

More details on operations in 4Q25

- **Continued robust momentum of games.** For instance, in late October 2025, the number of daily average users (DAU) for ***Honor of Kings*** in China achieved a new record high at 139mn+, while its global monthly active user (MAU) surpassed 260mn, setting a new record for the highest MAU among all games globally (link). The gross receipts of ***Delta Force*** continued rising QoQ according to Sensor Tower, and subsequently in February 2026, this game's DAU surpassed 50mn and monthly gross receipts reached a record high, according to Tencent's management. Both domestic/international games performed well, with revenue rising 15%/32% YoY for 4Q25, respectively, as GPM expanded 3ppts YoY.
- **Strength in advertising.** The YoY growth of Tencent's advertising business at 19% exceeded that of the entire industry at 14% in 2025, according to Tencent's management, though Tencent kept its ad load level lower than that of most peers. One key factor was that Tencent upgraded its adtech foundation model and introduced automated campaign solution AIM+, which improved ROI for advertisers and increased their budget allocation to Tencent, according to Tencent's management.

Figure 5 - Tencent: Domestic game pipeline

Title in English	Title in Chinese	Genre	Platform	Developer	Expected launch	License approval
Carbon island	碳碳岛	Simulation	Mobile	Tencent	Launched 2 Jul 2025	Yes
Star Resonance	星痕共鸣	MMORPG, Anime	Mobile, PC	Bokura, Tencent	Launched 17 Jul 2025	Yes
Terminull Brigade	矩阵: 零日危机	Roguelike, shooting	PC, Console	Pew Pew Games	Launched 30 Jul 2025	Yes
Valorant Mobile	无畏契约：源能行动	Shooting	Mobile	Riot Games, Tencent	Launched 19 Aug 2025	Yes (import)
Path of Exile 2	流放之路：降临	Action RPG	PC	Grinding Gear Games	Launched 11 Sept 2025	Yes (import)
Chaos Zero Nightmare	卡厄思梦境	Card	Mobile, PC	Smilegate	Launched 22 Oct 2025	Yes (import)
THE FINALS	终极角逐	FPS	PC	Embark Studios	Launched 18 Nov 2025	Yes (import)
Assault Fire: Future	逆战：未来	FPS	Mobile, PC	Tencent	Launched 13 Jan 2026	Yes
QQ Classic Farm	QQ经典农场	Simulation	Mobile	Tencent	Launched 6 Feb 2026	Yes
Strange Stories of the Three Kingdoms	三国志异闻录	RPG	Mobile	Tencent	Launched 17 Mar 2026	Yes
Roco Kingdom: World	**洛克王国：世界**	**Action RPG**	**Mobile, PC**	**Tencent**	**26 Mar 2026**	**Yes**
HoK: World	**王者荣耀：世界**	**Open-world RPG**	**Mobile, PC**	**Tencent**	**30 Apr 2026**	**Yes**
Light of Motiram	**荒野起源**	**Open-world Survival**	**Mobile, PC**	**Polaris Quest, Tencent**	**2027**	**Yes**
Assassin's Creed: Jade	刺客信条：侠隐	Action RPG	Mobile	Ubisoft, Tencent	TBC	Yes
TBD	狩	TBD	Mobile	Tencent	TBC	Yes
HoK - Breaking Dawn	王者荣耀：星之破晓	Fighting	Mobile	Tencent	TBC	Yes
Sword Sbow Stride	雪中悍刀行	Open-world MMORPG	Mobile, PC	Tencent	TBC	Yes
The Hidden Ones	异人之下	Anime, action	Mobile, PC	Tencent	TBC	Yes
Rust: Evolution	失控进化	MMORPG	Mobile, PC	Wooduan Technology	TBC	Yes
TBD	遮天世界	MMORPG	Mobile	Kaiser Culture	TBC	Yes
TBD	修仙时代	MMORPG	Mobile, PC	Electronic Soul Network	TBC	Yes
TBD	秘境刀仔	Roguelike	Mobile	Tencent	TBC	Yes
Rewinding Cadence	归环	Open-world RPG	Mobile, PC	Saroasis, Tencent	TBC	Yes
Peacekeeper Elite	和平精英	Shooting	PC	LightSpeed, Tencent	TBC	Yes
TBD	王者万象棋	Auto chess	Mobile, PC	Tencent	TBC	Yes
TBD	雪中悍刀行之世子多娇	TBD	PC	Tencent	TBC	Yes
TBD	王者万象棋	Auto chess	Mobile, PC	Tencent	TBC	Yes
TBD	雪中悍刀行之世子多娇	TBD	Mobile	Tencent	TBC	Yes
Monster Hunter Outlanders	怪物猎人：旅人	RPG	Mobile, PC	Capcom, Tencent	TBC	Yes (import)
Command & Conquer: Honor	红警：荣耀	SLG	Mobile	Tencent	TBC	Yes (import)
Don't Starve: New home	饥荒：新家园	Action - Adventure	Mobile	Tencent	TBC	Yes (import)
Lineage 2: Covenant	天堂2 盟约	MMORPG	Mobile, PC	NCsoft	TBC	Yes (import)
Crossfire: Project Neon	穿越火线：虹	FPS	PC, Console	Tencent	TBC	Yes (import)
Rainbow Six Siege	彩虹六号：攻势	Shooting	PC	Ubisoft, Tencent	TBC	Yes (import)
Code: To Louise Cha	代号：致金庸	Action RPG	Mobile, PC	Tencent	TBC	No
Silicon Universe	硅基宇宙	Sandbox	Mobile	PixelSoft	TBC	No
DNF:Khazan	地下城与勇士: 卡赞	Action RPG	PC	Neople	TBC	No
The Grey State	灰境行者	FPS	PC	Tencent	TBC	No

Source: NPPA, Company data, Macquarie Research, March 2026

Figure 6 - Tencent: SoTP table

SOTP						
RMB mn	**Valuation basis**	**2026E (RMB mn)**	**Multiples (x)**	**Rev CAGR (24-26E)**	**Valuation (HK$m)**	**% of total value**
VAS & online advertising	P/E	159,542	15.0	21%	2,625,178	52%
FBS - Cloud & FinTech	EV/Sales	251,077	5.0	18%	1,377,109	27%
Investment assets						
Investment	Fair value	923,423	1.0		1,012,961	20%
Cash per share (HK$)	Book value	59,089	1.0		64,818	1%
Valuation (HKD$m)					**5,080,066**	
No. of shares (mn)					9,092	
Fair value/share (HK$)					**$559**	
Implied 2026E PE					17	
Implied 2027E PE					15	

Source: Company data, Macquarie Research, March 2026

Figure 7 - Tencent: 4Q25 earnings review

(RMB mn)	4Q24	3Q25	4Q25	Previous Estimates 4Q25E	Previous Estimates % diff	Consensus 4Q25E	Consensus % diff
Total revenue	**172,446**	**192,869**	**194,371**	**192,510**	**1%**	**193,809**	**0%**
Growth %	11%	15%	13%	12%	1.1 ppts	12%	0.3 ppts
VAS	**79,022**	**95,860**	**89,920**	**87,094**	**3%**	**89,122**	**1%**
SNS	29,800	32,300	30,600	31,030	-1%	31,399	-3%
Games - as reported	49,222	63,560	59,320	56,064	6%	57,642	3%
Online advertising	**35,004**	**36,242**	**41,116**	**42,132**	**-2%**	**41,349**	**-1%**
Media	3,329	3,017	3,455	3,455	0%	3,650	-5%
Social	31,675	33,225	37,661	38,677	-3%	37,699	0%
FBS	**56,125**	**58,174**	**60,818**	**61,058**	**0%**	**61,087**	**0%**
Others	**2,295**	**2,593**	**2,517**	**2,226**	**13%**	**2,281**	**10%**
Gross profit	**90,653**	**108,798**	**108,289**	**107,113**	**1%**	**107,943**	**0%**
Gross margin, %	53%	56%	56%	56%	0.1 ppts	56%	0.0 ppts
VAS	44,157	58,623	53,539	51,259	4%	52,984	1%
Online advertising	20,197	20,551	24,559	25,574	-4%	24,039	2%
FBS	26,460	29,210	30,857	29,511	5%	30,520	1%
Operating Expenses	**39,175**	**45,244**	**47,951**	**47,996**	**0%**	**47,386**	**1%**
Sales and marketing	10,285	11,468	12,983	10,519	23%	11,537	13%
G&A	31,403	34,259	36,283	36,982	-2%	36,367	0%
Others + interest income	-2,513	-483	-1,315	495	n.a.	-677	n.a.
Operating profit (GAAP)	**51,478**	**63,554**	**60,338**	**59,117**	**2%**	**60,554**	**0%**
OP margin, %	30%	33%	31%	31%	0.3 ppts	31%	-0.2 ppts
Total adjustments	7,997	9,016	9,180	9,522	-4%	9,024	2%
Operating profit (Non-GAAP)	**59,475**	**72,570**	**69,518**	**68,639**	**1%**	**69,417**	**0%**
OP margin, non-GAAP %	34%	38%	36%	36%	0.1 ppts	36%	-0.1 ppts
Pretax Profit	**63,248**	**74,728**	**71,684**	**68,100**	**5%**	**67,760**	**6%**
Net Profit attributable to shareholders	**51,324**	**63,133**	**58,260**	**54,347**	**7%**	**54,541**	**7%**
Net margin, %	30%	33%	30%	28%	1.7 ppts	28%	1.8 ppts
Net profit (Non-GAAP)	**55,312**	**70,551**	**64,694**	**64,077**	**1%**	**63,901**	**1%**
Net margin, Non-GAAP %	32%	37%	33%	33%	0.0 ppts	33%	0.3 ppts
EPS GAAP (Rmb)	**5.5**	**6.8**	**6.3**	**5.9**	**7%**	**5.9**	**7%**
EPS Non-GAAP (Rmb)	**5.9**	**7.6**	**7.0**	**6.9**	**1%**	**6.9**	**1%**

Source: Company data, Visible Alpha, Macquarie Research, March 2026

Figure 8 - Tencent: Estimate revisions

(RMB mn)	Annual			Previous Estimates			% diff			Consensus			% diff		
	2025	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
Total revenue	**751,766**	**826,524**	**900,137**	**749,905**	**818,424**	**888,201**	**0%**	**1%**	**1%**	**751,330**	**827,509**	**905,861**	**0%**	**0%**	**-1%**
Growth %	14%	9.9%	9%	14%	9%	9%	0.3 ppts	0.8 ppts	0.4 ppts	14%	10%	9%	0.1 ppts	-0.2 ppts	-0.6 ppts
VAS	**369,281**	**396,615**	**423,298**	**366,455**	**388,580**	**411,963**	**1%**	**2%**	**3%**	**368,466**	**401,575**	**434,401**	**0%**	**-1%**	**-3%**
SNS	127,700	130,438	139,019	128,130	130,920	138,904	0%	0%	0%	128,413	135,837	143,758	-1%	-4%	-3%
Games - as reported	241,581	266,177	284,279	238,325	257,661	273,059	1%	3%	4%	239,762	265,438	290,302	1%	0%	-2%
Online advertising	**144,973**	**170,351**	**197,480**	**145,989**	**171,388**	**198,537**	**-1%**	**-1%**	**-1%**	**145,086**	**169,473**	**195,512**	**0%**	**1%**	**1%**
Media	12,084	12,495	12,979	12,084	12,495	12,979	0%	0%	0%	13,226	13,741	14,135	-9%	-9%	-8%
Social	132,889	157,857	184,501	133,905	158,893	185,558	-1%	-1%	-1%	131,860	155,732	181,376	1%	1%	2%
FBS	**229,435**	**251,077**	**270,454**	**229,675**	**250,280**	**269,117**	**0%**	**0%**	**0%**	**229,675**	**248,581**	**269,256**	**0%**	**1%**	**0%**
Others	**8,077**	**8,481**	**8,905**	**7,786**	**8,175**	**8,584**	**4%**	**4%**	**4%**	**7,789**	**8,193**	**8,312**	**4%**	**4%**	**7%**
Gross profit	**422,593**	**467,849**	**522,256**	**421,417**	**464,274**	**516,893**	**0%**	**1%**	**1%**	**422,772**	**471,177**	**522,294**	**0%**	**-1%**	**0%**
Gross margin, %	56%	57%	58%	56%	57%	58%	0%	0%	0%	56%	57%	58%	0%	-1%	1%
VAS	222,296	253,591	270,121	220,016	245,142	258,599	1%	3%	4%	221,612	243,791	265,996	0%	4%	2%
Online advertising	83,389	101,640	121,775	84,404	102,751	122,993	-1%	-1%	-1%	82,902	99,137	116,221	1%	3%	5%
FBS	116,616	130,845	141,843	115,270	128,955	139,727	1%	1%	2%	116,340	126,999	138,997	0%	3%	2%
Operating Expenses	**181,031**	**201,438**	**228,631**	**181,076**	**196,410**	**210,772**	**0%**	**3%**	**8%**	**180,118**	**191,526**	**206,286**	**1%**	**5%**	**11%**
Sales and marketing	41,727	45,055	50,867	39,263	42,023	43,817	6%	7%	16%	40,283	43,916	47,425	4%	3%	7%
G&A	136,127	155,027	176,906	136,826	150,423	163,263	-1%	3%	8%	136,178	149,815	160,714	0%	3%	10%
Others + interest income	3,177	1,356	858	4,987	3,965	3,692	-36%	-66%	-77%	3,924	-3,123	-2,682	n.a.	n.a.	n.a.
Operating profit (GAAP)	**241,562**	**266,411**	**293,626**	**240,341**	**267,864**	**306,121**	**1%**	**-1%**	**-4%**	**243,248**	**280,002**	**317,233**	**-1%**	**-5%**	**-7%**
OP margin, %	32%	32%	33%	32%	33%	34%	0%	-2%	-5%	32%	34%	35%	-1%	-5%	-7%
Total adjustments	39,094	38,735	39,247	39,436	38,817	39,306	-1%	0%	0%	37,956	36,397	38,008			
Operating profit (Non-GAAP)	**280,656**	**305,146**	**332,873**	**279,777**	**306,681**	**345,426**	**0%**	**-1%**	**-4%**	**281,258**	**315,752**	**354,078**	**0%**	**-3%**	**-6%**
OP margin, non-GAAP %	37%	37%	37%	37%	37%	39%	0%	-1%	-5%	37%	38%	39%	0%	-3%	-5%
Pretax Profit	**277,249**	**313,148**	**346,719**	**273,665**	**309,558**	**351,385**	**1%**	**1%**	**-1%**	**272,591**	**310,546**	**350,598**	**2%**	**1%**	**-1%**
Net Profit attributable to shareholders	**224,842**	**245,872**	**272,772**	**220,929**	**242,655**	**276,131**	**2%**	**1%**	**-1%**	**221,215**	**250,560**	**281,489**	**2%**	**-2%**	**-3%**
Net margin, %	30%	30%	30%	29%	30%	31%	2%	0%	-3%	29%	30%	31%	2%	-2%	-2%
Net profit (Non-GAAP)	**259,626**	**279,202**	**304,730**	**259,009**	**282,424**	**314,915**	**0%**	**-1%**	**-3%**	**259,457**	**290,038**	**322,873**	**0%**	**-4%**	**-6%**
Net margin, Non-GAAP %	35%	34%	34%	35%	35%	35%	0%	-2%	-5%	35%	35%	36%	0%	-4%	-5%
EPS GAAP (Rmb)	**24.3**	**26.6**	**29.5**	**23.9**	**26.3**	**29.9**	**2%**	**1%**	**-1%**	**23.8**	**27.1**	**30.7**	**2%**	**-2%**	**-4%**
EPS Non-GAAP (Rmb)	**28.1**	**30.2**	**32.9**	**28.0**	**30.6**	**34.1**	**0%**	**-1%**	**-3%**	**27.9**	**31.4**	**35.2**	**0%**	**-4%**	**-6%**

Source: Company data, Visible Alpha, Macquarie Research, March 2026

Key Quant Findings

The quant model currently holds a reasonably positive view on Tencent. The strongest style exposure is Growth, indicating this stock has good historic and/or forecast growth. Growth metrics focus on both top and bottom line items. The weakest style exposure is Valuations, indicating this stock is over-priced in the market relative to its peers.

Macquarie Alpha Model: Key rankings

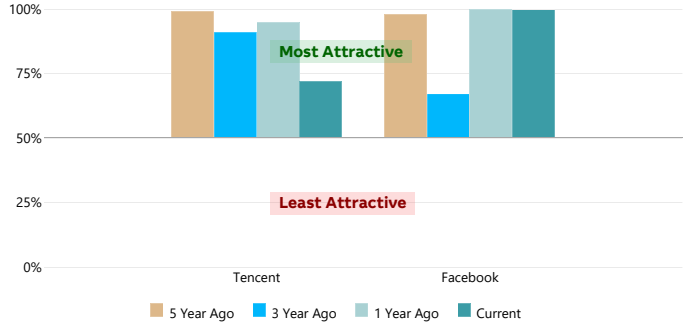
The Macquarie Quant's flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	Hong Kong	Telecommunication Services
Macquarie Alpha Model	**4721/17949**	**168/598**	**151/673**
Fundamental (Consensus) *	**2361/17949**	**153/598**	**74/673**

** based on Total Shareholder Return = Consensus Price target / Current Price*

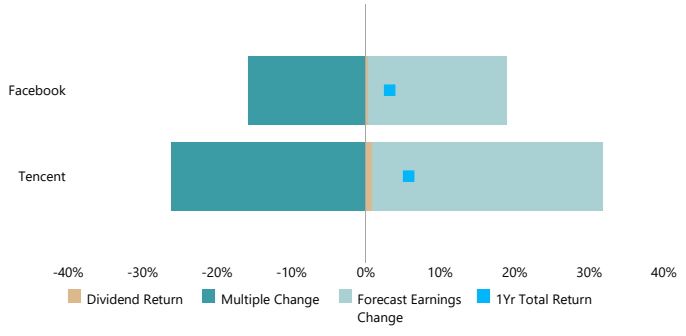
Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company's peers and over recent history.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



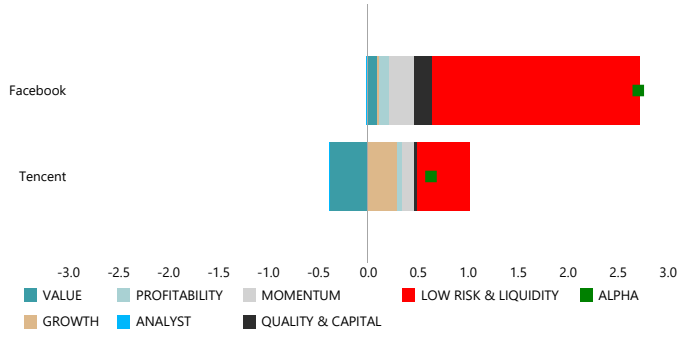
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to sectors (/673)	Percentile relative to market (/598)	Core factors in definition
ALPHA	78%	72%	Built from the styles below
VALUE	30%	26%	Book, CF, Yield, Earnings Multiples
ANALYST	74%	61%	Revisions (Earnings, Recommendations)
MOMENTUM	75%	53%	Price Momentum
GROWTH	87%	85%	EPS, Sales (Forecast, Historic)
PROFITABILITY	79%	86%	ROE, Margin, Asset Turnover
QUALITY	65%	70%	Accruals, Earn Stability, Cash Conversion
CAPITAL	48%	54%	Investment/Capex, Net share issuance
LIQUIDITY	99%	99%	Size, Turnover, Analyst Coverage
LOW RISK	63%	71%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	16%	11%	MACD, RSI, Bollinger, Williams R, etc

Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

	Monthly Factor Long-Short Returns for													
Asia Ex JP	**Feb - 26**	**Jan - 26**	**Dec - 25**	**Nov - 25**	**Oct - 25**	**Sep - 25**	**Aug - 25**	**Jul - 25**	**Jun - 25**	**May - 25**	**Apr - 25**	**Mar - 25**	**Last 5 Years (ann)**	**Last 10 Years (ann)**
ALPHA	0%	0%	3%	3%	2%	-3%	-6%	-7%	-1%	1%	0%	4%	6%	4%
VALUE	0%	-2%	3%	5%	4%	-4%	-4%	-3%	2%	4%	-2%	4%	11%	4%
ANALYST	0%	6%	5%	-2%	3%	4%	1%	-3%	4%	0%	-1%	1%	15%	12%
MOMENTUM	5%	8%	6%	-1%	-2%	0%	-6%	-6%	-2%	2%	0%	-2%	0%	1%
GROWTH	-1%	4%	2%	-2%	0%	5%	8%	0%	1%	0%	-1%	-1%	2%	1%
PROFITABILITY	0%	-4%	1%	3%	0%	-4%	-2%	-6%	1%	3%	1%	5%	-4%	-3%
QUALITY	-1%	-4%	-1%	1%	-4%	-6%	1%	-3%	-4%	0%	1%	2%	-5%	-2%
CAPITAL	-2%	2%	-1%	3%	-3%	-1%	-2%	-1%	-1%	0%	0%	3%	4%	-3%
LIQUIDITY	3%	1%	2%	-1%	-1%	3%	3%	-2%	1%	2%	0%	-1%	-5%	1%
LOW RISK	-2%	-8%	-2%	5%	1%	-6%	-11%	-9%	-5%	-1%	4%	5%	-6%	-7%

Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: maccapequitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at https://www.macquarieinsights.com/rp/d/r/p/OTUyMzg1

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Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% **Macquarie – Australia/New Zealand** Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. **Recommendations** – 12 months **12-month target** – Expected share price in 12 months **Valuation** – The company's estimated fair value share price based on the disclosed valuation methodology **Note**: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. **Very high** – highest risk – Stock should be expected to move up or down 60–100% in a year – investors should be aware this stock is highly speculative. **High** – stock should be expected to move up or down at least 40–60% in a year – investors should be aware this stock could be speculative. **Medium** – stock should be expected to move up or down at least 25–40% in a year. **Low** – stock should be expected to move up or down at least 15–25% in a year. * Applicable to select stocks in Asia/Australia/NZ **Note:** expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: **Added back:** goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests **EPS** = adjusted net profit / efpowa* **ROA** = adjusted ebit / average total assets **ROA Banks/Insurance** = adjusted net profit /average total assets **ROE** = adjusted net profit / average shareholders funds **Gross cashflow** = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 31 Dec 2025

	AU/NZ	Asia	USA	
Outperform	59.29%	69.41%	67.65%	(for global coverage by Macquarie, 2.10% of stocks followed are investment banking clients)
Neutral	32.86%	16.32%	32.35%	(for global coverage by Macquarie, 1.54% of stocks followed are investment banking clients)
Underperform	7.86%	14.27%	0.00%	(for global coverage by Macquarie, 0.70% of stocks followed are investment banking clients)

Company-Specific Disclosures

Company Name	Disclosure
Tencent (700 HK) **Neutral** 12-month target: HK$559.00 - Sum of Parts Valuation: HKD 559.00 - Sum of Parts Price: HK$550.50	Macquarie Capital Securities (Malaysia) Sdn Bhd makes a market in the securities of Tencent Holdings Ltd. Macquarie Capital Securities (Singapore) Pte. Limited makes a market in the securities of Tencent Holdings Ltd. Macquarie Capital Limited makes a market in the securities of Tencent Holdings Ltd.

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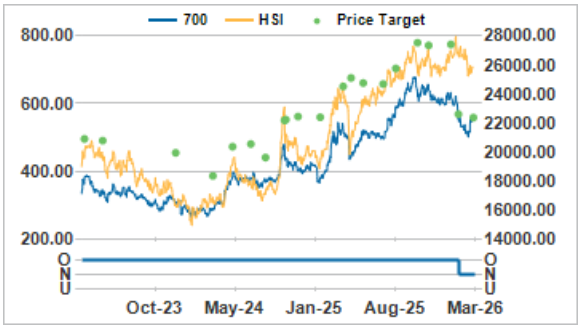
Recommendation history

Company name	Date	Recommendation	Target price
Tencent (700 HK)	19-Mar-2026	Neutral	HKD 559.00
	5-Feb-2026	Neutral	HKD 569.00
	15-Jan-2026	Outperform	HKD 775.00
	14-Nov-2025	Outperform	HKD 772.00



14-Oct-2025	Outperform	HKD 780.00
14-Aug-2025	Outperform	HKD 704.00
10-Jul-2025	Outperform	HKD 658.00
15-May-2025	Outperform	HKD 661.00
11-Apr-2025	Outperform	HKD 676.00
20-Mar-2025	Outperform	HKD 651.00
15-Jan-2025	Outperform	HKD 560.00
14-Nov-2024	Outperform	HKD 562.00
11-Oct-2024	Outperform	HKD 553.00
7-Oct-2024	Outperform	HKD 551.00
15-Aug-2024	Outperform	HKD 441.00
5-Jul-2024	Outperform	HKD 481.00
15-May-2024	Outperform	HKD 473.00
21-Mar-2024	Outperform	HKD 387.00
8-Dec-2023	Outperform	HKD 455.00
18-May-2023	Outperform	HKD 491.00
28-Mar-2023	Outperform	HKD 496.00

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